CREDIT PROPOSAL — REFERENCE (BUSINESS REQUEST, CREDIT COMMENTS, RECOMMENDATION)

Sanad Smart Facility Services Co. · New (SME)
Date 14/10/2026 · RM Hind Al-Subaie

Key details

Unit / branch:	SME Banking — Central Region / Riyadh King Abdulaziz Road Branch
Customer:	Sanad Smart Facility Services Co.
CIF / base no.:	New to bank
Group:	— (—)
Date account opened:	—
Related / connected party:	No
Date:	14/10/2026
AO / RO:	Hind Al-Subaie / Nawaf Al-Otaibi
Purpose code:	WC-03 SME working capital
Request type:	New (SME)
Review date:	31/10/2027
Industry code:	N8110 — Combined facilities support activities
Collateral code:	PG — Personal guarantee
Rating (existing / proposed):	— / BB
CR number:	1010712290

1. Action requested

Approve new SME facilities of SAR 8.0m to Sanad Smart Facility Services Co. (new to bank): overdraft SAR 3.0m and letters of guarantee SAR 5.0m (bid and performance) for the renewal of its main contract and two business-park tenders. Funded SAR 3.0m; facilities at Tihama Investment Bank (SAR 7.0m) stay in place.

2. Facilities

Facility (SAR m)	Existing	Outstanding	Proposed	Cash margin	Particulars
Overdraft	**0.0**	**0.0**	**3.0**		**3M SAIBOR + 3.00%, floor 7.00%; 12 months**
Letters of guarantee (bid and performance)	**0.0**	**0.0**	**5.0**	**10%**	**Comm. 1.00% p.a.; Up to 24 months**
Total facilities	**0.0**	**0.0**	**8.0**		

Arrangement fee SAR 20,000; LG issuance SAR 500 per LG.

3. Security and support

- All limits: personal guarantee of Abdulaziz Saleh Al-Mutlaq (90% shareholder); net-worth statement not provided.
- All limits: promissory note SAR 8.0m signed by the General Manager.
- LGs: 10% cash margin per LG, held in a blocked account.

4. Terms and conditions

1. Overdraft for payroll and operating expenses; no transfers to shareholders from the overdraft; reviewed annually.
2. LGs for facility-management tenders and contracts in the Kingdom only; single LG not above SAR 2.5m; validity not beyond 24 months plus 3 months claim period.
3. Route the company's collections through the Bank within 3 months, not less than SAR 2.5m a month (12-month credits at Tihama Investment Bank SAR 42.5m).
4. Payroll (WPS) for all 182 staff through the Bank within 3 months.
5. Audited financial statements within 120 days of year end; half-yearly management accounts within 60 days.

5. Group exposure

Entity	Funded existing	Total existing	Funded proposed	Total proposed	Outstanding
Sanad Smart Facility Services Co. (no group entities)	0.0	0.0	3.0	8.0	0.0
Group total	0.0	0.0	3.0	8.0	0.0

References: credit file request CFR/SME/2026/1187 (14/10/2026); customer's letter SSFS/GM/2026/19 (11/10/2026).

6. Background

Sanad Smart Facility Services Co. (CR 1010712290, Riyadh, CR valid to 09/03/2027), LLC incorporated 10/03/2019, capital SAR 1.0m; Abdulaziz Saleh Al-Mutlaq 90% (General Manager, sole signatory), Fahad Saleh Al-Mutlaq 10% (since 16/01/2022). No group entities.

Facility management for business parks and commercial buildings (cleaning, soft services, MEP maintenance); 182 staff, of which 42 Saudi (Nitaqat Low Green, 23.1% vs 22.9%). VAT filed quarterly since 01/07/2019.

Customers as per business (2025): Rawdat Business Park Management Co. 62.0% (30 days; contract to 30/06/2027), Al Ghadir Business Centre Owners Association 12.0%, 11 other clients 26.0% (30-60 days). Suppliers: 3 manpower subcontractors 41.0%, cleaning materials 22.0%.

Shareholder	Born	Nationality	Share	UBO
Abdulaziz Saleh Al-Mutlaq (GM)	1984	Saudi	90.0%	Yes
Fahad Saleh Al-Mutlaq	1990	Saudi	10.0%	Yes

7. Relationship with the Bank

New to bank; account to be opened on approval. Banks with Tihama Investment Bank (SME term loan limit SAR 4.0m, outstanding SAR 1.4m; Murabaha SAR 3.0m, outstanding SAR 2.8m; SIMAH 13/10/2026, no delinquency in 24 months).

Tihama Investment Bank statement Oct 2025 – Sep 2026: credits SAR 42.5m, payroll SAR 24.7m, no returned cheques.

8. Financials (as per audited and in-house statements)

SAR m	FY2024	FY2025	9M2026
Revenue	21.8	34.6	29.1
Revenue growth	43.4%	58.7%	—
Gross profit	4.8	7.3	5.9
Gross margin	22.0%	21.1%	20.3%
Operating profit	2.7	4.3	3.4
Net profit	2.3	3.6	2.9
Net margin	10.6%	10.4%	10.0%
EBITDA	3.3	5.1	4.1
Total assets	11.3	17.2	21.2
Bank debt, short term	2.3	2.8	3.6
Bank debt, long term	1.2	1.2	0.6
Net worth (TNW)	4.3	7.4	10.3
Leverage (TL / TNW)	1.63x	1.32x	1.06x
Gearing (bank debt / TNW)	0.81x	0.54x	0.41x
Working capital	4.5	7.6	10.0
Current ratio	1.98x	2.09x	2.19x
Operating cash flow	0.9	1.9	0.2

Auditor: FY2025 Al Wafa Chartered Accountants, unqualified (signed 24/05/2026). 9M2026 in-house, prepared by Ahmed Fathi Saber (unaudited).

9. RM's justification

Revenue SAR 34.6m in FY2025 (PY 21.8m, +59%) and SAR 29.1m in 9M2026; VAT standard-rated sales of the last 4 quarters SAR 39.3m.

The LG line supports the renewal of the main contract (bid due early 2027 as per RM) and two new tenders; payroll of 182 staff comes to the Bank. We recommend approval.

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Hind Al-Subaie
Relationship Manager

_____
Reem Al-Shehri
Unit Head, SME Banking — Central Region

CREDIT DIVISION COMMENTS

Independent review of the business request against the documents on file and the Bank's own records. Figures in SAR million unless stated; prior period in brackets.

Relationship and other banks

New to bank. Tihama Investment Bank is the only lender: limits SAR 7.0m, outstanding SAR 4.2m (SIMAH company report 13/10/2026, score 671, no overdue), guaranteed by the owner (SAR 4.0m). Tihama Investment Bank's offer letter and facility statement were not provided; the Murabaha is 93% utilised. With the request, bank lines would total SAR 15.0m = 1.5x net worth (SAR 10.3m at 30/09/2026).

The Tihama Investment Bank account received SAR 42.5m in 12 months (37.0m excluding VAT, 94% of VAT-filed sales); no returned cheques.

Concentration

Rawdat Business Park Management Co. is 62% of FY2025 revenue (SAR 21.5m; 2024: 58%) under a contract expiring on 30/06/2027 (audited Note 6); it paid SAR 26.4m of the SAR 42.5m received in the Tihama Investment Bank account in the 12 months to 09/2026 (62%). The LG line is mainly for the renewal of that same contract: if it is not renewed, revenue falls by about 62% from 07/2027. The request letter presents the customers as 'reputable business-park operators' and does not name Rawdat.

Owner's credit record (SIMAH)

The owner's SIMAH consumer report (13/10/2026, score 541) shows a credit card at Al Rimal Commercial Bank 90+ days past due since 08/2026 (SAR 38,400 overdue of SAR 58,400 outstanding; 30 days in 06/2026, 60 in 07/2026). The AML questionnaire (11/10/2026) declares 'no adverse credit history of the company or its owners'. The amount is small; the non-disclosure and the guarantor's liquidity are not: the company transferred SAR 2.6m to the owner's personal account in 12 months and the amount due from him rose to SAR 2.1m at 30/09/2026 (FY2025 1.2m; FY2024 0.6m). The partner's SIMAH report was not obtained (consent not signed).

Bureau (SIMAH)	Limits	Outstanding	Overdue	Score	Status
Sanad Smart Facility Services Co.	7.00	4.20	0.00	671	Current, 24 months
Abdulaziz Saleh Al-Mutlaq (guarantor)	0.27	0.15	0.04	541	Credit card 90+ DPD since 08/2026
Fahad Saleh Al-Mutlaq	—	—	—	—	Not provided (consent not signed)

Saudisation

Nitaqat Low Green at 23.1% against a 22.9% minimum (42 Saudis of 182 staff, certificate 01/10/2026): one Saudi leaving (41 of 181 = 22.7%) or two more non-Saudi hires (42 of 184 = 22.8%) drops the company to Yellow, which restricts visas and the new tenders' manpower.

Financials

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- Revenue SAR 34.6m in FY2025 (PY 21.8m, +58.7%); 9M2026 SAR 29.1m, annualised SAR 38.8m (+12.1%). FY2024 figures are compiled, not audited (auditor's other-matter paragraph of the FY2025 report, signed 24/05/2026).
- Gross margin 21.1% (PY 22.0%), net margin 10.4% (PY 10.6%).
- Profit is not turning into cash: receivables SAR 12.9m at 30/09/2026 (FY2025 9.8m), DSO 121 days (FY2025 103, FY2024 102) against 30-day terms and 'monthly-paying' customers; operating cash flow SAR 1.9m in FY2025 (PY 0.9m) and SAR 0.2m in 9M2026 against net profit SAR 2.9m. Receivables ageing not provided.
- Equity movements imply distributions of SAR 1.0m (2024) and SAR 0.5m (2025) not shown as dividends; not explained.
- If the amount due from the shareholder (SAR 2.1m) is netted off, adjusted net worth is SAR 8.2m and adjusted leverage 1.33x (reported 1.06x); the SAR 8.0m ask is 1.0x adjusted net worth.

Effects of the current market situation

Payroll is 58% of the account's outflows; Saudisation fees and the Low Green margin above make labour cost the main sensitivity. The two new business-park tenders are as per business; tender documents, values and dates were not provided.

Exceptions and other observations

- Exception: single customer above 50% of revenue (62%) for an unsecured SME line; business conveys the contract will be renewed, no evidence provided.
- Exception: personal guarantee without a net-worth statement; guarantor with a 90+ DPD record.
- Expired: Zakat certificate (valid until 30/04/2026; FY2025 certificate not provided); ID of the partner Fahad Saleh Al-Mutlaq (expired 15/08/2026).
- Not provided: audited FY2024 accounts, owner's net-worth statement, partners' resolution, authorised signatories, receivables and payables ageing, Tihama Investment Bank's offer letter and statement, the partner's SIMAH report; site visit not yet done.
- What business says vs what credit could verify: 'customers pay monthly' (DSO 121 days); 'no adverse credit history' (owner 90+ DPD); 'reputable business-park operators' (one operator = 62%).

Key strengths

- Revenue +59% in FY2025 confirmed by 4 quarterly VAT filings (SAR 39.3m) and statement receipts.
- Company bureau clean: Tihama Investment Bank limits SAR 7.0m, no overdue in 24 months; interest cover 10.2x (FY2025).
- Low capital intensity: fixed assets SAR 2.6m = 12% of total assets.

CREDIT DIVISION RECOMMENDATION

Credit division supports a smaller, partly secured facility of SAR 6.5m (requested SAR 8.0m) after the gaps below are closed: one customer at 62%, an undisclosed delinquency of the guarantor and DSO of 121 days do not support an unsecured overdraft of SAR 3.0m.

1. Letters of guarantee SAR 5.0m against 25% cash margin (requested 10%), for the Rawdat contract renewal and the two tenders; single LG not above SAR 2.5m.
2. Overdraft SAR 1.5m (requested 3.0m) at 3M SAIBOR + 3.00% (floor 7.00%) against assignment of the Rawdat contract proceeds to an account with the Bank.
3. Total SAR 6.5m (funded SAR 1.5m); personal guarantee of Abdulaziz Saleh Al-Mutlaq; promissory note SAR 6.5m.
4. Approval authority: SME Credit Manager.

Additional conditions (prior to limit loading unless stated)

a) Prior to limit loading: credit card settled, with Al Rimal Commercial Bank's clearance letter and an updated SIMAH report.
b) Prior to limit loading: Zakat certificate for FY2025; the partner's valid ID; owner's net-worth statement not older than 3 months.
c) Prior to limit loading: partners' resolution, authorised signatories, receivables ageing at 30/09/2026, the partner's SIMAH consent and report.
d) Prior to limit loading: Rawdat Business Park Management Co.'s acknowledgement of the assignment and of the Bank's account for payments.
e) Prior to limit loading: RM site visit report.
f) Undertaking: no transfers to the shareholder while facilities are outstanding; due from shareholder repaid or capitalised by 31/03/2027.

g) Monitoring: Nitaqat band checked monthly by the RM; Rawdat renewal status reported by 31/03/2027; no LG beyond 30/06/2027 for Rawdat unless renewed.

Sara Al-Dosari Credit Analyst	**Reem Al-Shehri** VP Credit	Chief Credit Officer

CRO review / comments

Credit committee approval / instructions

Approval authority: SME Credit Manager.

Chairman, Credit Committee	Member	Member